

annual statements. For example, Consolidated Edison Company of New York for the calendar year 1938 charged \$18,829,000 for retirement reserve in its report to shareholders and charged about \$26,800,000 for depreciation on a straight-line basis in its income tax return. For the 12 months ending September 30, 1939, the company charged \$24,217,000 for depreciation in its interim report to shareholders as against a charge of only \$17,737,000 in its report for the corresponding period ending September 30, 1938. Gross operating revenues for the latter two periods were \$248,666,000 and \$239,413,000, respectively.

5. Where any real alternative exists, the investor in fixed-value securities must invariably apply the more stringent test of soundness.

Examples: The practical significance of our fifth reason is shown by two examples—one current as this is written, the other taken from the securities market of 1930.

It is difficult to understand from the foregoing figures how the investor could justify to himself the purchase of Pennsylvania Power and Light \$5 Preferred at a price to yield only 5.26%. On the basis of the company's own report the margin above fixed charges and preferred dividends was entirely inadequate; on the income tax basis for depreciation this is cut by more than half; on the basis of the percentage of gross applied by Southern California Edison, the margin practically disappears.

If we examine a very similar situation existing in 1930, as shown in the bottom of the following table, we shall see how important it was for the investor to recognize the implication of the figures.

In this case we had three factors that militated against the investment merit of American Power and Light Preferred Stock: (1) The coverage as stated was entirely insufficient for real safety. (2) The depreciation rate taken was far too low. An adjustment to the Pacific Lighting basis would have sharply reduced the margin above preferred requirements. (3) These requirements were temporarily understated by about \$2,000,000, because a large preferred issue was then entitled to only \$3 in dividends, the rate advancing gradually to \$5 in 1933.

The decline in the market price of the \$6 preferred in 1938 was due to reductions in the dividend beginning in 1933, brought about in turn by lower net earnings which absorbed the small margin above preferred requirements existing in 1929. Recovery in reported earnings after 1933 was held back, in part, by the necessity of stepping up the depreciation allowance gradually to bring it in line with realities.